

Business Economics

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Topic 4: Teams and Decision Rights

Objectives:

- 1) Explain how works vary in their assignment of tasks and decision authority
- 2) Understand the trade-off between centralization and decentralization
- 3) Understand the trade-off between vertical and horizontal decision right assignment
- 4) Compare decision management rights and decision control rights
- 5) Understand influence cost and its role in decision rights assignment

From tasks to jobs

The *process* of transforming inputs into products/services is composed of several *tasks*

Car company: design, buying inputs, assembling, painting, selling.

Each of them can be subdivided: design of electronic parts, seats, etc.

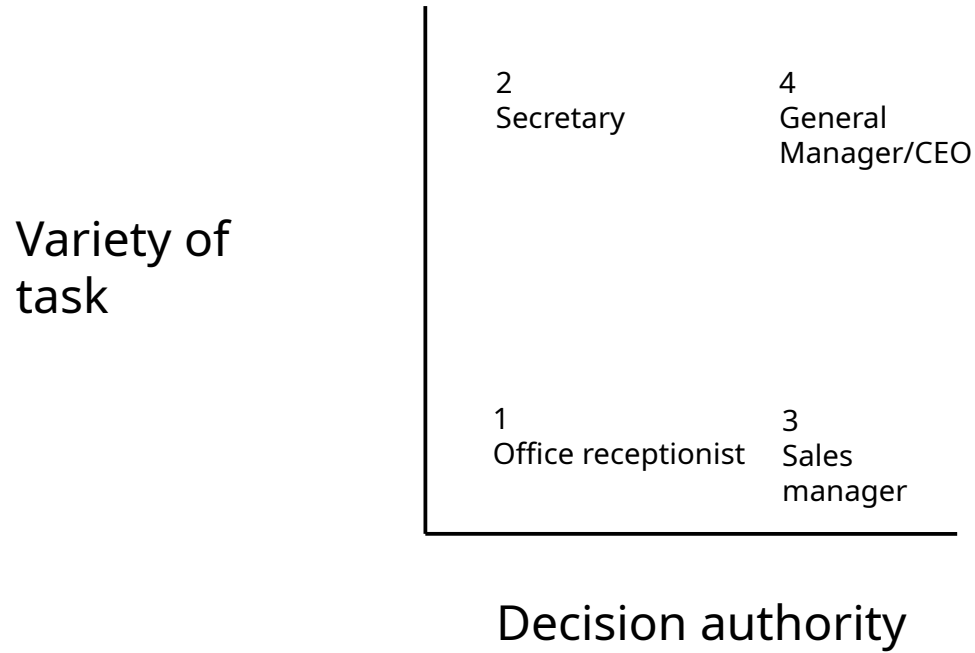
Organization architecture: jobs are created by bundling together different tasks

Dimensions of a job:

(1) Variety of tasks

(2) Decision authority (to determine when and how to complete each task)

From tasks to jobs



From tasks to jobs

Unfortunately, the problem of bundling tasks into jobs is extremely complex. It involves the assignment of literally thousands of tasks and decision rights

It also involves simultaneous consideration of other corporate policies such as performance-evaluation and compensation policy—the other two legs of the organizational architecture tool

Although the current theory is not sufficiently well developed to provide a detailed solution to this general problem, through some relatively simple examples we can derive important insights

In this topic, we focus on the issue of decision authority

Centralization vs Decentralization

Suppose you own a company that sells car in Barcelona and Madrid. You have hired two local managers, Xavier and José, one for each city. For simplicity, let's consider a single task: pricing each sale.

Assigning an individual the task of setting prices at a local unit increases that person's decision-making authority.

So, who should set the final price of each car?

Options:

- 1) You (general manager)
- 2) Xavier and José as a team
- 3) Xavier or José
- 4) Xavier and Javier separately for their own cities

Centralization vs Decentralization

- Lets compare the two extreme options: fully centralized and decentralized

Benefits of decentralization	Costs of decentralization
- Better use of local/<u>specific</u> knowledge: geographic, technical. - Conservation of senior management time - Training and motivation for local managers	- Incentive problems (e.g., delaying/hiding bad news, perquisite taking) - Coordination costs and failures (externalities, missing synergies) - Less effective use of central information (eg., info about suppliers) - Forgone scale economies (eg., advertising)

Centralization vs Decentralization

Discuss the benefits/costs of centralizing product design in a small electronic manufacturer producing just two products (notebook and tablet) with two designers.

Centralization vs Decentralization

These costs and benefits are likely to vary across firms and time.

Across firms:

Technology

Market condition/discipline

Regulation

Firm diversification

Firm vertical integration

Level of coordination across firm's units

Horizontal (lateral) decision rights

In case of decentralization, there are also horizontal decision rights to assign:

In our example, lateral rights can be allocated across local managers

- 1) each manager make pricing decisions for its city
- 2) one manager makes pricing decisions for both cities
- 3) both managers make pricing decisions as a team

The correct organizational architecture depends on the magnitudes of 3 costs:

- 1) cost of distribution of specific knowledge needed for taking the correct decision
- 2) coordination costs and failures across units: how critical coordination is? Consequences of failure?
- 3) monitoring/control costs: how costly is to confirm the correct decision has been taken?

Horizontal (lateral) decision rights

- **Describe how these factors apply of each of the 3 organizational options for lateral decision rights in our examples**
 - **Pricing**
 - **Product design**

Centralization vs Decentralization

Team: a work group with decision authority

Team decision-making: usually about **managing activities**, providing evaluation or suggestion, development new projects/products

Managing activities: multiple divisions/knowledge, coordinating production or working schedules, launching new products

Benefits	Costs
- Improved use of dispersed specific knowledge - Employee buy-in	- Collective action problem (slow decision making! And even inefficient) - Free-rider problem

Decision Management and Control

So far we have simplified the analysis: we assumed that an employee either has a decision right or does not

We can divide this concept into 4 components:

Decision management:

- 1) **initiation**: generation of proposals for new initiatives or changes
- 2) **implementation**: execution of the decision

Develop these concepts for our previous two examples:

- pricing
- product design

Decision Control:

- 1) **ratification**: choice the initiative to be implemented
- 2) **monitoring**: measuring performance and implementation of rewards

Decision Management and Control

The main recommendation is to separate decision control and management among different agents/teams

Example: Xavier might price below the fair price if a friend is the client.

Only when the decision-maker has the legal rights to the profits generated by its decision is it recommendable to keep decision control and management together.

Decision Management and Control

The separation of decision management and control explains the existence of hierarchies

Discuss the distribution of decision management or control rights. Who monitors who? And about what? (use an extension of the example)

Shareholders and Directors

Directors and CEO

CEO and Senior executives

Senior executives and middle-level managers

A so on

Influence cost

So far, we have assumed that the decision rights are assigned to an individual or a team in isolation from other stakeholders.

However, agents might want to influence this assignation:

- effort needed, compensation, or to protect friends

They will pursue influence activities: wasting valuable time trying to influence decision-makers

How to avoid this cost?

Insert **bureaucratic rules** that purposely limit active decision-making: there is no one to influence/lobby because the decision is taken by a rule, not a person.

Influence cost

Examples:

- Taxi company in the airport: FIFO
- ER and surgeons' resting time: age
- Navy and promotion: tenure

What decisions are being taken?

What are the potential benefits for the employees in deciding?

How can they lobby and what is the cost of this for the company?

Influence cost

When are these “decision rules” recommended?

In cases where the firm's profits are unaffected by decisions with a relevant impact on the welfare of an employee

The firm benefits from a reduction in influence costs but is little affected by the particular outcome of the decision process

Cases to Discuss

Present an real case related to some of the topics of the class.

The case should be based on recent news (<2 years) and preferably related to Spanish companies/cases.

Start the presentation with the context behind the event/decision/case, then identify the relevant concepts, to finally conclude/assess the case.

10 min, 7-11 slides

Examples:

- 1) decision rights and companies moving from (to) centralization to (from) decentralization.
- 2) how does multinational company solve the problem of distributing specific knowledge?
- 3) coordination costs and its solution in big companies
- 4) influence cost/lobbying in large corporations (top management team and Directors)

Summary

Main Concepts

Dimension of jobs: decision authority and variation of tasks

Centralization vs decentralization

Local/specific knowledge

Incentive problems

Coordination costs

Lateral decision rights

Decision Management and Control

Influence cost